

Entrepreneurship Development is a practice meant to improve entrepreneurial skills among people. In other words, it is the inculcation, advancement, and grooming of entrepreneurial skills into a person needed to establish and successfully run an enterprise.

Entrepreneurship Development provides people the required encouragement and business skill to help them establish a successful business. It is all about building a business from zero by coming up with new ideas and turning those ideas into a profitable business.

This is a brief introductory tutorial that will definitely help the readers to have a better understanding of the concepts of entrepreneurship.

Audience

This tutorial will be useful for students from management streams who aspire to learn the basics of Entrepreneurship Development. Professionals, especially managers, regardless of which sector or industry they belong to, can use this tutorial to learn how to apply the methods of Entrepreneurship Development in their respective enterprise.

Prerequisites

The readers of this tutorial are expected to have a basic understanding of how an entrepreneur would deal with a complex project having multiple dimensions and accomplish it without overshooting their resources.

Entrepreneurship is the art of starting a business, basically a startup company offering creative product, process or service. We can say that it is an activity full of creativity. An entrepreneur perceives everything as a chance and displays bias in taking decision to exploit the chance.

An entrepreneur is a creator or a designer who designs new ideas and business processes according to the market requirements and his/her own passion. To be a successful entrepreneur, it is very important to have managerial skill and strong team building abilities. Leadership attributes are a sign of successful entrepreneurs. Some political economists regard leadership, management ability, and team building skills to be the essential qualities of an entrepreneur.

An entrepreneur is an innovator or a creator who introduces something new to the firm or economy. It can be a new method of production, a new product, a new source of material, a new market or any other similar innovation. Thus, an entrepreneur is an innovator, creator, borrower, purchaser, etc. Some famous entrepreneurs are Azim Premji, Lakshmi Mittal, and Ekta Kapoor.

Motivation An Important Factor

The performance of an entrepreneur is dependent on his/her ability and willingness to perform. Here, by ability we mean a function of education, experience and skill and by willingness we mean to perform depending upon the level of motivation. Motivation is one of the fundamental factor required for an entrepreneur to promote his/her ideas.

Why is Motivation Required?

The term motivation has been derived from the word motive which is nothing but what prompts any person to act in a particular manner. Motives are the definition of a persons goals, dreams and needs. They direct human behavior to towards achieving their goal.

When everything is properly organized, then what is the need of motivation?

The following points answer this question and gives an idea **why motivation is an important factor for an entrepreneur** –

Tough competition – An entrepreneur needs to face tough competition, in order to sustain and make a mark in this global market. To cope with this competition, motivation is required at each stage of the firm.

Unfavorable environment – Nobody knows what the future holds. One has to take care of the current economy and should be prepared for the worst situations of deteriorating economic conditions. For this, motivation and optimism is essential.

To create public demand – Market runs by the people and for the people. To run a business profitably, it is required to create a public demand for your product or service in the market and attract as many customers as possible. To do this in the right way, motivation is required.

To enhance creativity – Market always wants something new and different. If every firm offers the same product without any variation then there is no point of preferring one brand in particular. To sustain one has to be innovative. Add some new features in the existing products and services, make them more user friendly in a considerable budget. This requires motivation too.

To increase productivity – It is very important to take care of the quality of the product as well as the profit. People will always prefer a product which is cost efficient and of good quality. So, motivation is required for increase the productivity.

Thus motivation plays a unique role in establishing a company by frequently boosting the entrepreneur to do effective things efficiently.

What Motivates an Entrepreneur?

Many research studies have been conducted by researchers to understand and answer this question so that the factors that motivate people to take all the risk and start a new enterprise can be identified.

The **6Cs that motivate entrepreneurs** to establish their own business are as follows –

Change – Entrepreneurs frequently want change, not only change, they also want to be the bearers of change. They are solution givers and want to interrupt the status quo. They have a vision like "I want to assemble the world's information" or "I want to put an AC at every desk" and they take an attempt to make this change. In this attempt, some succeed and some fail.

Challenge – Some people love challenges and they opt for starting a new business as it is very challenging to handle big problems. These people find typical job in a big corporate as boring and not challenging enough.

Creativity – Running one's own business is all about being more creative and having the independence to make new discoveries. For example, testing a new website design, launching a new marketing scheme, creating inventive items that solve a known issue in a different way, creating new advertising campaigns, etc. One needs to have an infinite room to welcome and introduce creativity in a small business.

Control – Some people tend to start a business because they don't want to be pushed around and work for a product/company in which they have no way to shape their destiny. They want to be their own boss having their own time, own pace, location of their choice, employees of their choice and have a progressive role in deciding the direction of the company.

Curiosity – Successful entrepreneurs are always anxious and ask – "what if we do X this way? They want to have more than one option to do a work and choose the best one from them. They want to understand the customer's perceptions, point of views, markets and competitors. They are frequently anxious to see how their particular theory like "people want to do A with B" works. In this aspect, they can't be differentiated from a scientist who is trying to prove his theorem.

Cash – The last but not the least part is the cash. Money says it all. Many nonentrepreneurs have a misconception that cash comes first for entrepreneurs but this is never really true. If this would be the case, then there is no reason for an Ellison or Gates to keep expanding their business aggressively after they have made more than billion dollars. However, money is not the primary motivation.

From the above discussion, it can be said that the highest motivating factor is the urge to get something or the drive to do something differently.

Results of Motivation

Successful entrepreneurship needs determination, freedom, discipline, connectivity and an abundance of skills in planning. People with a complete package of physical strength combined with perseverance, mental strength, and self-discipline have the passion and urge to succeed. **With proper motivation, we get the following outcomes –**

Heavy industrialization – Tremendous growth can be seen in industrialization. Example: Companies like TISCO, TELCO have been set up and are flourishing.

Self-employment – A common man gets a chance to make a difference, set a new standard of industrial growth. Example: Entrepreneurs like Dhirubhai Ambani and Azim Premji are born.

Economic growth – When there is growth in an individuals economy, there is a growth in the companys economy, which in turn results in the growth of that particular area and country. Example: Emergence of smart cities concept.

Creating new jobs – More entrepreneurship leads to more job openings. More job openings leads to more employment opportunities.

Proper social benefit – When a countrys economy grows or increases we see that more advanced and proper social benefits are provided to the general public like construction of roads, school, hospital, colleges, etc.

Entrepreneurial drive is the inbuilt encouragement some people possess to make something happen. It is the energy that pushes one forward as a founder and forces not to give up in the face of failure, ultimately leading to success.